

infant when it comes to commercialising operations.

“The true yardstick of a successful spacetechnology ecosystem is the revenue it generates and how quickly it can achieve profitability, even while continuing to invest in research & development. By that measure, we are still at a very early stage,” Ahmed, 25, says.

His description of Pixxel, which builds high-resolution, hyperspectral imaging satellites that provide data on the composition and characteristics of planetary objects and surfaces, is apt for India’s entire spacetechnology start-up ecosystem.

Although it has round 200,000 start-ups, the world’s third largest number, India remains a relatively small entity in the spacetechnology industry. Most of its start-ups are less than a decade old and are still building core capabilities.

“Across the ecosystem, including us, no company has yet demonstrated large-scale commercial execution,” Ahmed told *Business Today* from the US.

VAST GAP BUT NARROWING FAST

The gap between India and global space leaders like the US is vast. Decades of sustained investment and active participation by non-state entities have given mature markets a commanding lead.

56 | The global space economy, estimated at \$596 billion in 2024, has been growing 5–8% annually over the past decade, according to a report by the Confederation of Indian Industry and consultant KPMG.

To be sure, India’s growth is nothing to sneeze at. Industry estimates suggest India’s space sector could cross \$40 billion by the end of the 2030s, having expanded from \$8.4 billion in 2022 to \$13 billion now.

That’s promising in a world where conquering space is no longer simply a matter of prestige; space has emerged as a theatre for the projection of geopolitical muscle power.

This has been proven by the use of space technologies like satellite data in the conflict between Iran, and the US and Israel.

From intelligence gathering to non-kinetic warfare, space technology has become a critical, dual-use capability shaping modern conflict—a fact also demonstrated during Operation Sindoor, which India launched against terrorist bases in Pakistan following the Pahalgam attack in 2025.

To be sure, momentum is building rapidly in India’s spacetechnology industry. The acceleration is being driven by policy liberalisation, increasing non-state participation, and a surge in start-up activity. From fewer than 250 spacetechnology start-ups a few years ago, India now has around 400 ventures.

READY FOR LIFT-OFF?

► **The Indian spacetechnology sector has scaled rapidly to a \$13-billion market with around 400 start-ups**

► **However, most companies are under a decade old and still building core capabilities, not commercial scale**

► **India has strong talent and innovation, but gets just 1.3% of global spacetechnology funding**

► **The real gap lies in Series A and B stages, where patient capital is critical**

► **Despite rising start-up activity, there are no major exits and very few revenue-generating companies**

► **Policy reforms, easing of FDI, and procurement are helping de-risk early growth, but long-term success depends on building global markets beyond state demand**

► **While launch and manufacturing dominate today, long-term value will accrue in data and applications—especially Earth observation and analytics**

